ALI COMMERCIAL CENTER INC.

OFFER FOR LEASE

25 April, 2023

Dear **Mr. Dimacali,**

We are pleased to inform you of the basic terms and conditions of our proposed lease for **MARY GRACE,** which space is more particularly identified in the attached plan ("the Leased Premises").

PARTIES

LESSOR: ALI Commercial Center Inc.

LESSEE: MARY GRACE FOODS INC.

Trade Name	**CAFÉ MARY GRACE**	**Nature of Business**	☒ Food ☐ Non Food ☐ Service
Company Name	**MARY GRACE FOODS INC.**	**Signatory**	**Adrian Dimacali**
Franchisee	☐ Yes ☒ No	**Designation**	**HR & Legal Manager**
Authorized Dealer	☐ Yes ☒ No	**Address**	**2981 Mahogany St., Paranaque Metro Manila**

AREA AND LEASE TERM

Location	**Second Level, Greenbelt 5**	**Period (Month/Day/Year)**	
Space No.	**GB5P1-2-**	**Lease Term**	**05/01/2023 - 09/30/2029**
Gross Leasable Area (GLA)*	**149.49 sqm**	**Rental Commencement**	**August 1, 2023 or start of operations whichever comes first**
Outside Seating Area*	**sqm**		
Mezzanine Area*	**sqm**	**Turnover Date**	**05/01/2023**
Stockroom Area*	**sqm**	**Rent Free Period**	**05/01/2023 - 07/31/2023**

MONTHLY RENTAL CHARGES (exclusive of VAT)

☐ Fixed Rent

Main Area Rental Structure ☒ ***Percentage Rent

Period (Month/Day/Year)	**Amount Basic (per sqm)**	**Minimum (per sqm)**	**Variable Rent**
08/01/2023 - 09/30/2027	**₱1,400**	**₱1,900**	**5%**
10/01/2027 - 09/30/2028	**₱1,470**	**₱1,970**	**5%**
10/01/2028 - 09/30/2029	**₱1,544**	**₱2,044**	**5%**

Sales Quota (per sqm) **₱10,000.00**

***Rate is subject to yearly escalation**

	Amount	**Period (Month/Day/Year)**
Outside Seating Rental Structure	**₱0.00**	**Date**
Mezzanine Rental Structure	**₱0.00**	**Date**
Stockroom Rental Structure	**₱0.00**	**Date**
Common Area Charges (per sqm)	**₱150.00**	***to commence upon turnover***
Aircon Charges (per sqm)	**₱150.00**	

DEPOSITS

	Amount	**Due Date**		**Amount**	**Due Date**
Security Deposit	**₱284,031.00**	**Upon signing**	**Construction Bond**	**₱284,031.00**	**Before turnover**
	₱568,062.00	**Before turnover**			
	₱852,093.00	**Before rental commencement**			

OTHER CHARGES

- Annual Ad and Promo Fee of **Php 31,500.00** Ads&Promo
- Board Up Charges payable on or before Turn-over Date
- Electricity, Water, and LPG based on actual consumption
- Centralized Maintenance Activities (Bio-Augmentation Program, Pest Control)
- Estate Association dues (as may be applicable)

REQUIRED DOCUMENTS

The Lessee shall submit the following documents within 7 calendar days upon signing of this letter;

- Completed Annex C – concept paper/menu;
- Completed Merchant Information Sheet;
- Copies of SEC/DTI Certificate of Registration, Articles of Incorporation, and Business Permit; Secretary's Certificate
- BIR 2303 (Certificate of Registration);
- If Franchisee - Franchise Agreement, Signed Tripartite agreement and Franchisor documents;
- If Authorized Dealer - Dealership agreement and endorsement letter from Principal.

It is understood that the Lessor considers the rent and other charges due hereunder as strictly confidential information and the Lessee hereby agrees not to disclose the same to third parties and not to include in its invoices to customers any mention of such rent and other charges payable to the Lessor. Neither shall the other terms hereunder be divulged to any other party unless otherwise required by law, court order or regulation.

While the terms and conditions herein stated are true and correct as of the date hereof, the same may be amended at the sole discretion of the Lessor, without need of prior notice and consent of the Lessee.

If the terms and conditions herein and those provided at the back hereof are acceptable to you, kindly signify your interest and conformity by signing each page of this letter and on the space provided below, and then please return a signed copy of this letter to us on or before **April 30, 2023**. Informatively, the Leased Premises specified herein is simultaneously being offered to other prospective merchants. As such, the Leased Premises shall be awarded to the merchant who submits the signed copy of this term sheet at the earliest time before the date in the immediately preceding sentence expires.

Should you have any queries or require further assistance on this matter, please feel free to communicate with **Marc Ambrocio** through the following: **0917 535 7761** (mobile), or at ambrociomarc.almi@ayalamalls.com.ph (email).

PREPARED BY:	ENDORSED BY:	APPROVED/NOTED BY:	CONFORME:
Marc Ambrocio **Operations Manager**	**Renz Casanova** **Leasing Manager**	**Ediza Arcilla** **General Manager**	**Adrian Dimacali** **Merchant**

ALI COMMERCIAL CENTER INC.
By: Attorneys-in-Fact

Lessee

*Subject to joint lease re-measurement upon turnover of space for new malls

**Indicative dates subject to finalization for new malls

***Basic Rent plus Variable Rent or Minimum Rent whichever is higher

OTHER TERMS AND CONDITIONS

The following terms and conditions of the lease form an integral part of and are in addition to those provided in the front page of this lettter and shall remain in full force from the time of the execution of this letter until execution of the lease contract between the parties:

1. Data Privacy – Lessee hereby accepts the terms and conditions provided in the Data Privacy Policy of the Lessor and its parent company (as disclosed in its website: https://www.ayalaland.com.ph/privacy-policy/) and undertakes to, and cause its employees, agents, representatives and assigns to, abide by said terms and conditions as may be necessary in implementing the provisions of this letter. Lessee represents and warrants that its collection, access, use, storage, disposal, and disclosure of any personal information in relation to the transaction contemplated under this letter shall at all times comply with the Data Privacy Act of 2012 and all other applicable data privacy and data protection laws and regulations.

2. Lease Contract – Parties shall be executing a definitive lease contract within the period stated below. The lease contract shall embody the terms of this agreement, among others. It is understood that the terms herein stated are not exclusive and that other terms and conditions governing the lease and operation of an establishment in the Leased Premises shall be included and provided in such lease contract.

3. Early Bird Discount (FOR NEW MALLS ONLY) - Lessee can avail of the early bird discount provided that the Lessee has complied with the following:
(i) Store is fully operational on mall opening date;
(ii) Full payment of: (a) Security Deposit, (b) Construction Bond and (c) Board-up charges
(iii) Submission of signed Contract of Lease

4. Payment of Rent – (i) The Reservation Deposit (one month minimum rent) shall be applied as part of the Security Deposit in the event that the contract of lease is signed by the Lessor and the Lessee and is non-refundable if the Lessee cancels its lease after signing of the term sheet or if any of the events of default as stated below occurs which entitles the Lessor to cancel the lease.
(ii) The due date shall fall on the end of the month. However, if the due date falls on a Saturday, Sunday, or holiday, payment of rent is due on the last working day of the month.
(iii) Outstanding accounts are subject to Interest of 1% and Penalty of 2% per month
(iv) In the event that the Lessee fails to pay the rent and the charges or fees incurred in connection with the supply, consumption and use of air-conditioning, telephone, telex, facsimile, telecommunications, electricity, water and other public services and utilities to the Leased Premises for a period of two (2) consecutive months, the Lessor shall have the right to disconnect or discontinue the supply thereof for such period as it shall determine. This right shall be in addition to the rights provided under section 9 below.

5. Fees and Charges – All fees and charges stated in this letter shall be subject to annual adjustment.

6. Compliance with Rules – Lessee shall comply with the Lessor's Design and Construction Guidelines as well as the House Rules, and with such rules and regulations as may from time to time be imposed, adopted, introduced or amended by the Lessor or any of its representatives.

Lessee

7. Food Merchants – Food merchants are required to comply and provide an Automatic Fire Suppression System and shall at their own cost, regularly have their kitchen exhaust cleaned and maintained by the Lessor's accredited contractor. Furthermore, Food merchant agrees that its sodas, water, beverages and ice requirements shall be exclusively supplied by the Lessor and/or its accredited supplier.

8. Alterations, Additions or Improvements – Realignment, reconfiguration or upgrade of utilities, any alteration, cut-up, partitioning, addition or improvement within the Leased Premises required by the Lessee for the conduct of its business shall be subject to the prior written consent of the Lessor and such terms and conditions as may be imposed by the Lessor as it deems fit. All alterations, cut-up, partitioning, realignment, reconfiguration or upgrade of utilities, additions or improvements made by the Lessee as well as any alteration, improvement, addition or installation in or on the Leased Premises shall be done in good workmanlike fashion and at the Lessee's cost.

9. Surrender or Return of the Leased Premises – Upon the expiration or termination of the lease, all alterations, additions, improvements, movable fixtures and enhancements made or introduced by the Lessee shall be demolished, removed or dismantled by the Lessee, at its own cost, in a strip to bare condition and in such a way that it will not cause water leak, power interruption, damage or destruction to any improvements introduced by the Lessor in the Leased Premises. Rectification of any damaged portion of the Leased Premises due to the demolition, removal or dismantling shall be at the expense of the Lessee.

10. Termination of the Lease and Consequences – Lessee's failure to: (i) return to Lessor a signed copy of this letter and submit the documents stated in the latter part of this letter on or before the given date, or (ii) execute a definitive contract of lease within sixty (60) days from the release of the contract of lease to the Lessee or any of its officers, employees, agents, representatives or any person found within the Leased Premises, or (iii) strictly comply with any of the abovementioned terms and conditions and perform its obligations under this letter on the dates specified for each, shall be deemed as an event of default and entitle the Lessor to terminate the lease at any time, without need of any judicial action or declaration and without prejudice to the Lessor's right to collect the Lessee's outstanding account and avail of any right or remedy which the Lessor may have under the applicable laws, including the right to forfeit the Lessee's additional security and construction bond.
For this purpose, the Lessee hereby appoints the Lessor as its attorney-in-fact with the following powers and functions, exercisable upon the occurrence of any of the events of default set forth above and shall have the right to (i) open, enter, padlock, secure, enclose or fence in the Leased Premises, and/or discontinue the supply of public utilities and services to the Leased Premises, or otherwise take full and complete physical possession and control of the Leased Premises; (ii) assume ownership and take full control and possession of all alterations, additions, improvements or installations placed in or on the Leased Premises which cannot be removed without defacing or injuring any ceiling, floor, wall or any portion of the building or the Leased Premises, (iii) take an inventory of the equipment, furniture, articles or merchandise found or located in the Leased Premises which may be removed therefrom without defacing or injuring any ceiling, floor, wall or any portion of the building or Leased Premises, place any of the same in storage and charge the Lessee the corresponding storage fees therefor; (iv) in case the Lessee fails to claim said equipment, furniture, articles or merchandise from storage and liquidate any liability to the Lessor within thirty (30) days from the date the Lessor takes possession of the Leased Premises or of the Lessee's personal properties, to dispose of said properties in a public sale and to apply the proceeds thereof to the payment of any liability and/or indebtedness due to the Lessor from the Lessee, including reasonable expenses incurred by the Lessor in connection with such sale, without prejudice to the right of the Lessor to collect the deficiency, if any. The appointment of the Lessor as attorney-in-fact is considered coupled with an interest, and hence is irrevocable.

Attorneys-in-Fact

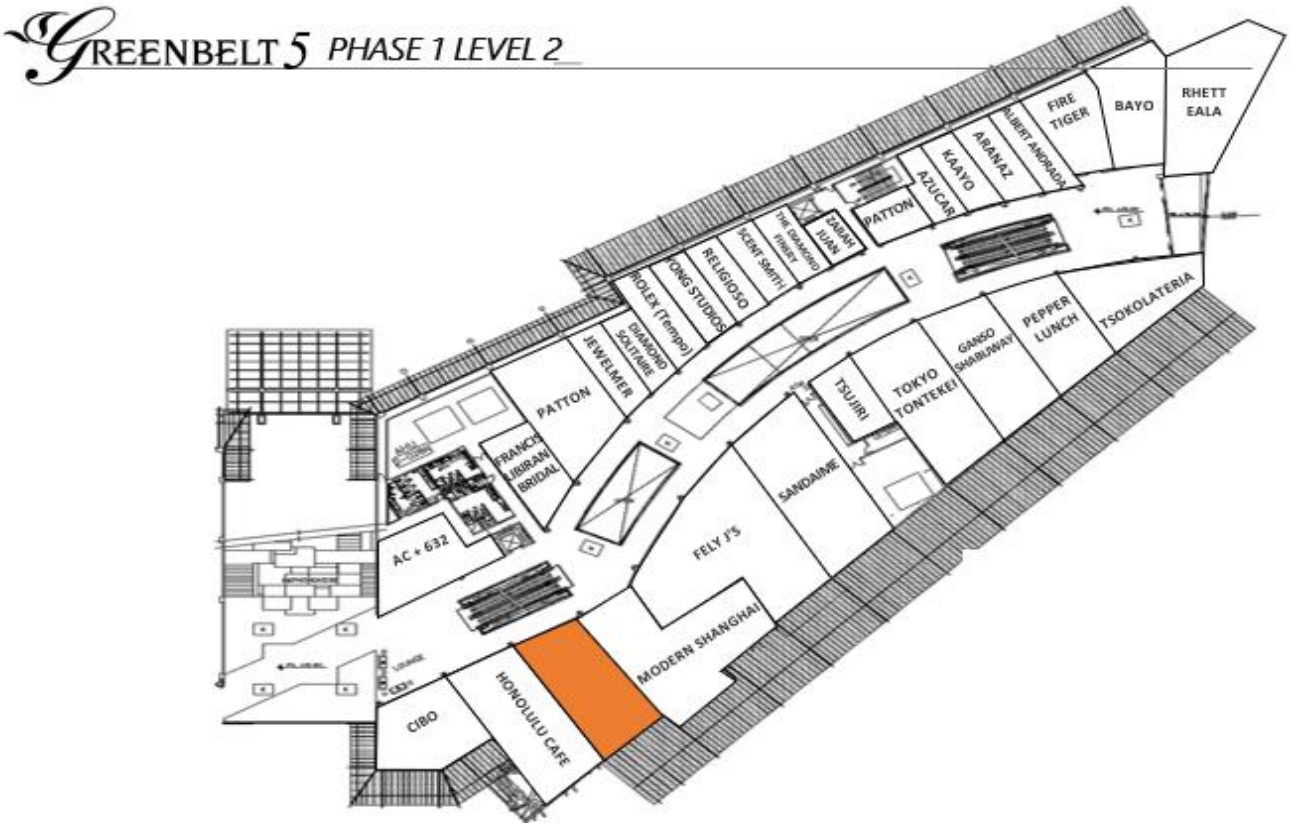
11. Insurance – Prior to construction, Lessee shall be required to secure appropriate Contractors All Risks Insurance based on the full amount of the construction (with comprehensive third party liability extension at a minimum amount of P1,000,000) for the duration of the entire construction, demolition or renovation works.
Prior to start of operations, Lessee shall be required to secure: (1) Commercial or Property All Risks Insurance with business interruption extension and (2) Comprehensive General or Third Party Liability cover (i.e. fire, water damage, food poising) with a minimum limit of P1,000,000 to be renewed yearly for the entire duration of the lease. The insurance coverage shall be obtained by the Lessee from BPIMS from any Ayala Land Inc. (ALI) accredited insurance companies and shall furnish the LESSOR with copies thereof as wells its subsequent renewals.

12. GCash as mode of payment - As part of the consideration for the grant of this lease, LESSEE shall adopt and accept GCash as a payment option for the customers and shall display GCash QR code in its Leased Premises to facilitate the scan to pay facility. Failure by the LESSEE to comply with this shall be considered a material breach of this Contract of Lease.

ALI COMMERCIAL CENTER INC.
By:

ANNEX A: The Leased Premises

Location



ANNEX C: FOOD

Store Name	
Location/ Building	
Category	
Product Origin	☐ Local ☐ Foreign Franchise ☐ Local carrying imported brands

PRODUCT MIX

Please attached CONCEPT PAPER and MENU

I shall abide with the following regulations of ALI Commercial Center Inc.:

1. that ONLY products listed herein and APPROVED by ALI Commercial Center Inc., shall be sold in the store;
2. that ALI Commercial Center Inc. reserves the right to disapprove certain products within the list stated herein;
3. that ANY ADDITION or CHANGE to product concept or mix shall require prior approval of ALI Commercial Center Inc. management.

CONFORME/DATE:

_____

Printed Name/Signature of Owner

APPROVED BY/DATE:

_____

Leasing Manager
ALI Commercial Center Inc.

ALI COMMERCIAL CENTER INC.

MERCHANT INFORMATION SHEET

BUSINESS INFORMATION			
Store Name			
Company Name			
Registered Company Address			
Office Landline No.			
Business Type			
Tax Identification No.			
Community Tax Cert. No.			
Place of Issue		Date of Issue	

CONTACT INFORMATION	
Store Operations	
Contact Person	
Designation	
Mobile No.	
Email Address	
Finance	
Contact Person	
Designation	
Mobile No.	
Email Address	

CONTRACT SIGNATORY INFORMATION			
Signatory 1			
Complete Name			
Designation			
Community Tax Cert. No.			
Place of Issue		Date of Issue	
Signatory 2			
Complete Name			
Designation			
Community Tax Cert. No.			
Place of Issue		Date of Issue	
Signatory 3			
Complete Name			
Designation			
Community Tax Cert. No.			
Place of Issue		Date of Issue	

RELATED PARTY WORKING IN AYALA LAND AND SUBSIDIARIES		
Name of Family Member or Related Party	**Nature of Relationship**	**Ayala Land and Subsidiaries Company Name**

Please submit SEC Registration papers or DTI Registration papers showing list of owners/ incorporators together with this form. Competent Evidence of Identity: any of the ff: Driver's License, SSS card/ID, GSIS e-card/ID, Postal ID, Voter's ID, Philhealth Card with picture, Passport, PRC ID, NBI clearance

Prepare by:

_____
Printed Name/Signature of Owner

_____
Date